

Payroll & Compensation Policy

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Overview: This document outlines the compensation structure, payroll processing cycles, tax deductions, and bonus eligibility for all TechV-Flash employees globally, with specific clauses for the India HQ.

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1. Salary Disbursement Cycle

1.1 Payday

Salaries are credited to the employee's registered salary bank account on the last working day of every month. If the last day of the month falls on a weekend or a public holiday, salaries will be disbursed on the preceding working day.

1.2 Payslips

Digital payslips are generated and made available on the TechV-Flash HR Portal by the 2nd calendar day of the subsequent month. Employees are responsible for reviewing their payslips and reporting discrepancies within 5 business days.

2. Statutory Deductions & Taxes

2.1 Tax Deducted at Source (TDS)

TechV-Flash deducts income tax at source based on the income tax slab applicable to the employee's projected annual income. Employees must submit their investment declarations by April 15th and proofs by January 31st of the financial year to adjust their TDS accurately.

2.2 Provident Fund (PF)

For Indian employees, 12% of the Basic Salary is deducted as the employee's contribution to the Employee Provident Fund (EPF), with an equal matching contribution from TechV-Flash, subject to statutory limits.

2.3 Professional Tax (PT)

Professional Tax is deducted monthly in accordance with the state laws where the employee's primary office is located (e.g., Maharashtra state slabs for Pune HQ).

2.4 Income Tax Form 16

Digital Form 16, which outlines annual earnings and taxes deducted for the financial year, will be released by June 15th of the subsequent year. Employees can download the signed PDF from the payroll tax portal.

3. Variable Pay & Bonuses

3.1 Annual Performance Bonus

Eligible Full-Time Employees receive an annual performance bonus based on individual KPIs and company revenue targets. This is calculated for the financial year (April-March) and paid out in the May payroll cycle.

3.2 Bonus Eligibility Criterion

To be eligible for the annual performance bonus, an employee must have completed at least 6 months of continuous service by March 31st. Additionally, the employee must be on the active payroll and not serving a notice period on the actual date of bonus disbursement.

3.3 Joining Bonus / Sign-on Bonus

If a sign-on bonus is part of the employment offer, it is paid in the first month's salary. A clawback clause applies: if the employee resigns within 12 months of joining, 100% of the joining bonus will be recovered during the final settlement.

4. Overtime Compensation

Employee Category	Overtime Eligibility	Rate of Compensation
Software Engineers & Management (Exempt)	Not Eligible	N/A (Comp-off applicable for weekend critical deployments)
L1/L2 IT Support Staff (Non-Exempt)	Eligible (Requires Manager Pre-approval)	1.5x of calculated hourly basic rate
Interns	Not Eligible	N/A

5. Allowances & Tax-Efficient Reimbursements

5.1 House Rent Allowance (HRA)

HRA constitutes 40% (for non-metros) or 50% (for metro cities) of the basic salary. Rent receipts and rent agreements must be submitted on the tax portal to claim tax exemption under Section 10(13A). PAN of the landlord is mandatory if the annual rent exceeds 1,00,000 INR.

5.2 Leave Travel Allowance (LTA)

LTA can be claimed twice in a block of four calendar years for domestic travel with family. Claims must be submitted with valid flight/train boarding passes and tax invoices. The exemption is limited to actual travel costs, excluding lodging and food.

5.3 Books & Periodicals Allowance

Employees are eligible for a tax-free allowance up to 12,000 INR per year for books, magazines, and technical subscriptions related to their professional growth. Expense claims must be submitted quarterly with proper GST invoices.

5.4 Fuel & Vehicle Maintenance Allowance

For employee-owned vehicles used for business commutes, tax-exempt reimbursements can be claimed up to 21,600 INR annually. Proper fuel bills and vehicle registration details must be uploaded on the portal.

6. Shift Allowances

6.1 Night Shift Eligibility

Employees scheduled to work in the designated night shift (starting after 8:00 PM and ending after 4:00 AM) are eligible for a Shift Allowance. Shift schedules must be logged and approved in the attendance system by the reporting manager.

6.2 Transport and Cab Facility

Female employees working in late night shifts (ending after 10:00 PM or starting before 6:00 AM) will be provided free home drop/pickup cab services equipped with GPS tracking and security escorts.

6.3 Table of Shift Allowance Rates

Shift Timing	Role Eligibility	Daily Allowance Rate	Transport Provision
General Shift (9:00 AM - 6:00 PM)	All Employees	N/A (Standard)	Not Provided
Evening Shift (2:00 PM - 11:00 PM)	Support & Operations Teams	250 INR per day	One-way drop facility provided
Night Shift (10:00 PM - 7:00 AM)	IT Infrastructure & Support Teams	500 INR per day	Two-way cab facility provided

7. Salary Advances & Loan Schemes

7.1 Emergency Salary Advance

FTEs who have completed 1 year of service can apply for an emergency salary advance. The maximum advance is limited to 1 month's basic salary, and approvals are subject to HR and Finance verification. Sickness, natural disaster, or family emergencies are valid reasons.

7.2 Repayment Terms & Interest Rates

All salary advances are interest-free and will be recovered in a maximum of 6 equal monthly installments, starting from the payroll cycle immediately following the month of disbursement.

7.3 Resignation / Notice Period Recovery

If an employee with an active salary advance resigns, the entire outstanding balance will be recovered in full from the final settlement statement. Slabs or installment extensions are not permitted during the notice period.

8. Final Settlement & Exit Payroll

8.1 Gratuity Calculations

In accordance with the Payment of Gratuity Act, employees who complete 5 years of continuous service are eligible for gratuity. The formula is: $\text{(Last Drawn Basic Salary} \times 15 / 26) \times \text{Number of Years of Service}$.

8.2 Leave Encashment Calculations

Unutilized accrued PTO days (up to a maximum of 45 days) can be encashed at the time of separation. The payment is calculated as: $\text{(Basic Salary} / 30) \times \text{Accrued PTO Days}$. No other leave categories are eligible for exit encashment.

8.3 Notice Buy-out Recovery

If an employee leaves without serving the required notice period, a notice recovery fee equivalent to basic salary for the unserved period will be added to the exit payroll deductions.

9. Relocation Assistance & Allowance

TechV-Flash provides financial support to new hires and existing employees relocated by the company to a different city (e.g., relocating to the Pune HQ).

9.1 Table of Relocation Slabs & Allowances

Relocation Distance	Role Grade Level	Max Packers & Movers Cap	Temporary Stay Provision
Less than 200 km	All Levels	10,000 INR	2 Days (Hotel booking)
200 km to 1000 km	L1 - L3 (Associates to Seniors)	25,000 INR	7 Days (Guest house/Hotel)
200 km to 1000 km	L4 - L6 (Leads & Managers)	40,000 INR	10 Days (Guest house/Hotel)
Above 1000 km / International	All Levels (Approved relocation)	60,000 INR (Domestic max)	14 Days (Guest house/Hotel)

10. Retirals & Long-term Benefits

Long-term financial benefits and savings schemes are maintained by the company to ensure financial security post-retirement.

10.1 Table of Retiral Benefits Summary

Retiral Benefit	Employee Contribution	Company Contribution	Tax Exemption Status
Employee Provident Fund (EPF)	12% of Basic Salary (Mandatory)	12% of Basic Salary (Matching)	Exempt under Section 80C
Voluntary Provident Fund (VPF)	Up to 88% of Basic (Voluntary)	None	Exempt under Section 80C
National Pension Scheme (NPS)	Up to 10% of Basic (Voluntary)	Corporate plan matching up to 10%	Exempt under Section 80CCD(2)
Gratuity Scheme	None	100% funded by company trust	Tax-free up to 20,00,000 INR

11. Payroll Dispute Resolution

11.1 Raising a Payroll Query

In case of salary credit errors, tax miscalculations, or missing allowances, employees must raise a query via payroll@techvflash.com with their employee ID and digital payslip copy.

11.2 Payroll Corrections & SLA

Approved payroll corrections (such as underpaid allowances) will be processed through an off-cycle payroll run within 3 business days if the discrepancy exceeds 5,000 INR. Minor corrections will be adjusted in the next monthly payroll run.

11.3 Overpayment Recovery Guidelines

If an employee is overpaid due to administrative or system errors, the finance team will notify the employee and adjust the excess amount in the subsequent month's payroll. High overpayment sums may be split over 3 months.